

of the resource’,” he says.

Since most airlines offer similar quality of services and domestic routes ranging up to 2-2:30 hours, passengers tend to choose the cheapest seats available. This has forced airlines into a cut-throat pricing model, further impacting their finances. “For most leading carriers, the uncertainty will prevail in the foreseeable future. The Indian aviation sector is prone to defaults and airlines going bankrupt is a phenomenon that has been in play for the past 40 years... the threats will prevail in the [near-term]... unless fuel prices become cheaper, like in the Gulf countries, which is unlikely,” says Sharma of

The picture isn’t too rosy even for airlines that are operational, especially in terms of the share of passenger traffic. The share, even for the top players, has fluctuated like no other organised sector in the country in the past 10 years. While IndiGo and Vistara managed to gain market share steadily, others have had a torrid time. SpiceJet, which had a share of 14.9% of passenger traffic in 2019 and 2020 and held the second spot, is down to the fifth spot with a share of 5.4% in 2024. Air India saw its market share drop to 8.9% in 2022 from 12% in 2021, recovered slightly in 2024 to 12.5%. And Akasa Air, launched in 2021, is at the

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“There aren’t many other markets like India in the world. Northern India has a good east to west flow, while southern India can offer an Asia to Africa or Australia-Europe flow”

CAMPBELL WILSON
CEO, AIR INDIA, AT AN EVENT IN MARCH

Sana Securities.

Starting with ModiLuft in 1996 and Kingfisher Airlines in 2012 to Go First in 2023, the list of defunct airlines is long. Over the past four decades, at least 50 carriers have become defunct, mostly due to bleeding too much cash, say experts. Since 2012, at least three major carriers have turned defunct. Besides Kingfisher and Go First, which individually used to hold more than 10% of the market for the most part of their existence, Jet Airways also went defunct. Jet, which used to hold the second spot in the domestic market with a share of 13.8% in 2018, shut shop a year later.

sixth spot after garnering a market share of 4.5%.

THE WAY AHEAD

Let us get back to Vistara once more. After weeks of negotiations, the Vistara management claims that 98% of its pilots are on-board with the new pay structure. But pilots with Air India, too, are apparently unhappy with the proposed pay structure post the merger. While no official communication has come from Air India, people familiar with the developments say some pilots have already resigned in protest.

Meanwhile, in an internal com-



PASSENGER PUSH Before the pandemic, between India grew to 141.2 million a year from 57.9 million a

munication, Vistara CEO Vinod Kannan informed the team that to minimise the trouble and inconvenience to its customers, the airline is scaling down its operations by 25-30 flights per day, which accounts for around 10% of its capacity. “It has been a challenging start to the new financial year. As you are no doubt aware, we faced significant operational disruption from March 31 to April 2... there were a multitude of reasons behind this, including ATC delays, bird hits, and maintenance activities early last month—all of which had a cascading effect on a highly optimised network. We were stretched on